Hence, my call is for more coordination in monetary policy because I think it would be an immense improvement over the current international non-system. International monetary policy coordination, of course, is unpopular among central bankers, and I therefore have to say why I reiterate the call and what I mean by it.

I do not mean that central bankers sit around a table and make policy collectively, nor do I mean that they call each other regularly and coordinate actions. In its strong form, I propose that large country central banks, both in advanced countries and emerging markets, internalize more of the spillovers from their policies in their mandate, and are forced by new conventions on the 'rules of the game' to avoid unconventional policies with large adverse spillovers and questionable domestic benefits. Given the difficulties of operationalizing the strong form, I suggest that, at the very least, central banks reinterpret their domestic mandate to take into account other country reactions over time (and not just the immediate feedback effects), and thus become more sensitive to spillovers. This weak 'coordination' could be supplemented with a re-examination of global safety nets.

THE GAINS FROM COORDINATION

Economists generally converged on the view that the gains to policy coordination were small provided each country optimized its own policies keeping in mind the policies of others. The 'Nash equilibrium' was not that far from the global optimum, hence the 'own house in order' doctrine was dominant in the international monetary field. National macroeconomic stability was seen as sufficient for international macroeconomic stability. The domestic and international aspects were essentially regarded as two sides of the same coin.